

\$40,000 per year and want to maintain that spending, you would need a portfolio of \$1 million. ($\$1 \text{ million} \times 0.04 = \$40,000$) If you spend \$100,000, you would need \$2.5 million. Conversely, if you spent only \$30,000, you would need \$750,000.

The 4% Rule is a great guide for those taking the “Simple Path” with our investments. While it gives us a starting point, it’s not quite that simple.

You don’t have to have a Ph.D. in finance to follow the simple path to wealth, but it doesn’t hurt to have one—or at least know someone in the FI community who does. Karsten Jeske—aka Big ERN—is that guy. He writes the blog *Early Retirement Now*. Jeske likes the concept of having a fixed round number that works all the time, but he’s done the research and that number doesn’t exist.

ERN uses this analogy to explain the concept. Figuring out how much money you need to be FI is like figuring out how long it takes you to drive from your house to the airport. The 4% Rule is like finding the average driving time to the airport by entering it into your GPS. It will give you a rough idea of how long the drive will take, but that time varies depending on the time of day and other variables. If you sent a driver on the same route every hour over a twenty-four hour period, some would leave at 3 a.m. with no traffic on the road